

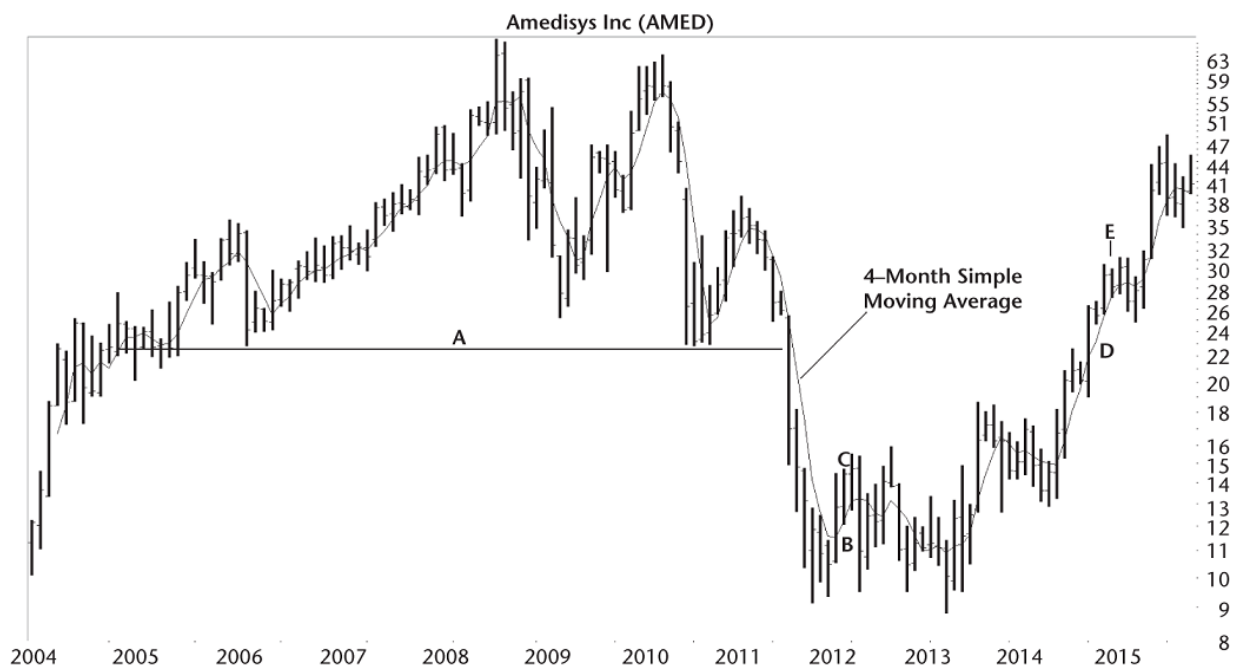


Figure 18.4 A 4-month simple moving average provides a buy signal.

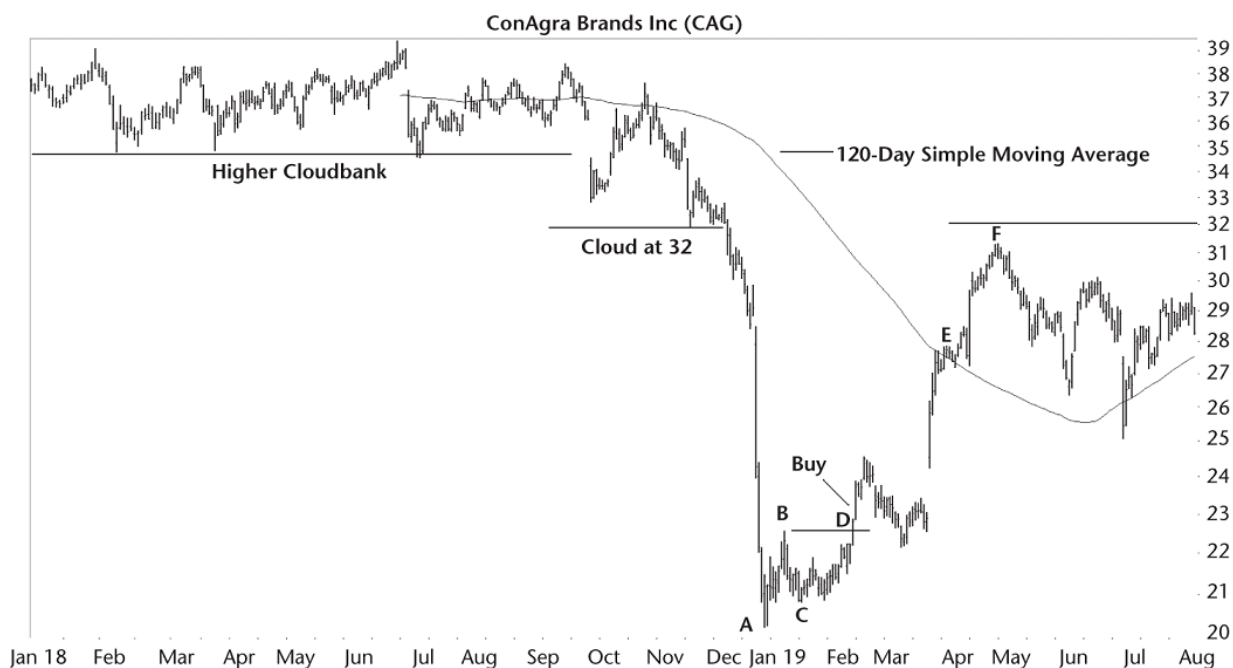


Figure 18.5 An ugly double bottom provides a buy signal.

Let's say you'll hold onto the stock until it stops making higher highs. That happens at E. So you sell at the open the next month and receive a fill at 28.34 for a gain of 120%. That's a little less than a 3-year hold time, or 41% annually.